

shall be dismissed from the action.

16. 9:00 AM CASE NUMBER: MSC19-02043

CASE NAME: GARAVENTA VS AZARI

*HEARING ON MOTION IN RE: ORDER AUTHORIZING RECEIVER TO WIND UP BUSINESS

FILED BY: DONELL, STEPHEN

TENTATIVE RULING:

Parties to Appear to Address the Issues Stated Below

Before the Court is a second amended motion by the State Court Receiver Stephen Donell for an order authorizing the Receiver to wind up the business of defendant Pine Hollow Enterprises. For the reasons set forth, the motion is **granted, subject to** the terms and conditions set forth below.

Background

For the general case background, see Line 15 above.

As relevant to the Receiver's motion, defendant Mehrzad Azari made an *ex parte* application for appointment of a receiver over Pine Hollow on June 4, 2025. After hearings on June 4, 2025 and June 13, 2025, Azari's *ex parte* application was granted, and Stephen Donell was appointed as Receiver "with respect to, and to take possession, custody and control of, the going concern businesses operated by Pine Hollow located at 1024 Alberta Way, Concord, CA." (6/13/2025 Order.)

On August 28, 2025, the Receiver filed a motion for an order authorizing him to wind up the business of Pine Hollow. The Receiver subsequently filed an amended wind up motion on September 16, 2025.

On October 28, 2025, the parties and the Receiver filed their Stipulation to [sic] Order Authorizing Receiver to Wind Up Pine Hollow Enterprises, Inc. ("Wind Up Stipulation") which was approved by the Court's Order of the same date. Under the Wind Up Stipulation, the Receiver "is authorized to wind up Pine Hollow's business on such timeline as the Receiver in the exercise of his business judgment" and generally to take the actions the Receiver in his business judgment are reasonably necessary to wind up Pine Hollow, including giving notices to the gasoline product supplier and convenience store franchisor. The Court signed a concurrent order granting the *ex parte* application for approval of the Wind Up Stipulation and confirming the hearing on the Receiver's wind up motion would remain on calendar. (10/28/2025 Order.)

On November 7, 2025, the Receiver filed a second amended motion for order authorizing the wind up of Pine Hollow to reflect the developments in the case and the outstanding issues related to the wind up of Pine Hollow in light of the Wind Up Stipulation. The Court addresses that motion in this ruling.

Legal Background and Analysis of Issues in Dispute

" 'A receiver is an agent and officer of the court, and is under the control and supervision of the court. [Citations omitted.]" " (*Southern California Sunbelt Developers, Inc. v. Banyan Limited Partnership* (2017) 8 Cal.App.5th 910, 922.) (See also *City of Sierra Madre v. SunTrust Mortgage, Inc.* (2019) 32 Cal.App.5th 648, 656 ["A receiver is an officer of the court and is subject to the court's continuing control"]; Code Civ. Proc. § 568; Cal. R. Ct., Rule 3.1179.) The property subject to the receivership is under the Court's control and "continuous supervision." (*City of Santa Monica v.*

Gonzalez (2008) 43 Cal.4th 905, 930.) The Receiver's powers are controlled by statute, the order appointing the Receiver, and subsequent orders of the Court. (*Id.* at 930.) Based on the Court's supervision and control, a receiver may request instructions from the Court regarding the disposition of property and other issues arising in the receivership administration. (*See, generally, United Sav. & Loan Assn. v. Hoffman* (1973) 30 Cal.App.3d 306, 311 [addressing receiver's request for instructions as to disposition of surplus funds].) The Court has wide discretion in approving a receiver's proposed actions in the absence of "evidence of fraud, unfairness or oppression." (*City of Santa Monica v. Gonzalez, supra*, 43 Cal.4th at 931.)

A. The Receiver's Motion

The Receiver's motion seeks instructions regarding three issues: (a) Pine Hollow's obligation to repair piping on the leased property to remediate environmental regulatory violations that have been cited by applicable regulatory authorities; (b) Pine Hollow's obligation to reimburse the property owner/landlord AGL for real property taxes due, and the Receiver's proposed offset of the amount owed by Pine Hollow for the taxes against amounts owed by AGL under the AGL-Pine Hollow Note; and (c) payment of an invoice in the amount of \$3,508.72 to CMA as its bonus for management of Pine Hollow pursuant to agreement Azari contends was approved by the board of Pine Hollow in 2019. Azari has filed a notice of non-opposition to the Receiver's motion and the instructions the Receiver seeks regarding the handling of these matters, specifically that (a) Pine Hollow should conduct the piping repair and remediation, among other reasons, based on its obligation under its lease to do so and the risks of increasing fines and penalties if the repairs are not made; (b) the property tax liability of Pine Hollow under the lease should be paid by offsetting the amount due for the property taxes against the amounts owed by AGL to Pine Hollow under the AGL-Pine Hollow Note; and (c) the CMA invoice for \$3,508.72 should be paid, as the Receiver has not been presented with any evidence by Garaventa as the party objecting to the payment that supports not paying the invoice.

B. Garaventa Objections

Garaventa and his counsel have each filed a declaration in opposition to the Receiver's motion, along with Garaventa also filed a "Notice of Objection" to the three categories of payments the Receiver proposes to make as part of the wind up of Pine Hollow. Garaventa did not file a memorandum in opposition to the motion. To the extent the Notice of Objection is considered Garaventa's brief, the Court agrees with the Receiver that it is legally deficient as unsupported by any legal authority. (*Sprague v. Equifax, Inc.* (1985) 166 Cal.App.3d 1012, 1050.) The declarations filed by Garaventa include many arguments, not necessarily evidence, and raise issues not targeted directly to the issues subject to the Receiver's motion, nor did Garaventa file an opposition memorandum with applicable legal authority connecting the arguments in the declarations to the issues subject to the motion.

C. Arguments Not Pertinent to the Resolution of the Motion

In particular, the Court finds the following issues raised by Garaventa in the declarations not pertinent to the determination of the Receiver's motion:

1. Azari as Sole Owner of Pine Hollow: Garaventa contends that for some number of years, Azari has held himself out to be the sole owner of Pine Hollow. (Bowles Decl. ¶ 3 and Exh. 1.) Garaventa, however, in his declaration declares he is the 50% owner of Pine Hollow.

(Garaventa Decl. ¶ 2.) It is not clear how Azari's position as sole owner or as half owner with Garaventa is relevant to the determination of what obligations Pine Hollow should pay as part of its wind up by the Receiver.

2. General Arguments as to Azari's Alleged Mismanagement of Pine Hollow and Status of Lease with AGL. Garaventa complains about the lack of board meetings for Pine Hollow over a period of years, and his exclusion from management by and control of management of Pine Hollow by Azari alone. (Bowles Decl. ¶¶ 5, 6; Garaventa Decl. ¶¶ 3, 5, 6.) Garaventa's counsel raises concerns regarding whether the lease with AGL was extended to May 2026 or whether as the Receiver has concluded AGL is only a month-to-month tenant. (Bowles Decl. ¶¶ 5, 6.) Regardless, Garaventa concedes, and previously stipulated, that Pine Hollow's business should be wound up by the Receiver, so the status of Pine Hollow as lessee or month-to-month tenant at this point does not appear relevant to the issues subject to the Receiver's request for instructions regarding the three categories of payments.

D. The CMA Invoice and Real Property Taxes

As to the items subject to the Receiver's request for instructions and Garaventa's Notice of Objection, the Court finds that the Receiver should pay the CMA invoice and should pay the real property tax amount owed to AGL by making the offset against the AGL-Pine Hollow Note as recommended by the Receiver based on the following analysis:

1. The CMA Invoice. Garaventa argues that Pine Hollow made excessive management fee payments to CMA in prior periods. (Bowles Decl. ¶ 4; Garaventa Decl. ¶ 9.) Garaventa contends CMA is not entitled to a bonus, and his counsel argues the CMA management fee was unreasonable, but neither declaration provides evidence that Pine Hollow's board did not agree to pay this fee, or that the specific amount of the fee in the invoice in question is an incorrect amount based on that agreement. Garaventa's FAC in fact refers to the "Pine Hollow Board of Directors' decision to increase compensation to CMA to an incredible \$33,000 plus bonus per month." (FAC ¶ 23.) Whether the Board action that produced that agreement was improper or a breach of Azari's fiduciary duties remains the subject of dispute in the pending litigation and the payment to CMA can be contested by Garaventa in his ongoing litigation against Azari.

For the Receiver's purposes in trying to satisfy the corporation's obligations to wind up Pine Hollow's affairs, the record before the Court indicates the Receiver has an invoice from CMA that needs to be paid, that the claim is based on a bonus approved by the Board of Pine Hollow, and that the invoice is an outstanding debt owed by Pine Hollow. (Donell Decl. ¶¶ 13-16 and Exhs. G-J.) The Receiver's reply declaration provides evidence of a written agreement for payment of CMA for its management of Pine Hollow, including a bonus. (Donell Reply Decl. ¶¶ 2, 3 and Exhs. A, B.) The Receiver's motion with respect to

the payment of the CMA invoice is **granted**, and the Receiver is instructed to pay the \$3,508.72 CMA invoice. This payment by the Receiver pursuant to the Court's instructions on this motion shall not prejudice or limit any right of Garaventa to pursue his claims against Azari with respect to the CMA fees in his breach of fiduciary action, including any claim that CMA was not entitled to the bonus or that the bonus was otherwise not properly paid by Pine Hollow based on Garaventa's claims against Azari for breach of fiduciary duty in the management of Pine Hollow alleged in the FAC.

2. Property Tax Liability. The Receiver points to the provision of Pine Hollow's lease that obligates Pine Hollow to reimburse AGL for the real property tax payment for the property within 15 days after AGL makes the payment. (Donell Decl. ¶¶ 5, 17 and Exhs. B and K.) After AGL made demand on Pine Hollow to pay AGL for the real property taxes, the Receiver proposed to the parties that the real property tax payment be made by Pine Hollow offsetting the amount of the tax payment against the outstanding balance of the \$1 million AGL-Pine Hollow Note. (Donell Decl. ¶ 18.) Garaventa objected to the offset. (Donell Decl. ¶ 18.) The Court finds the Receiver's proposal to pay the real property tax payment by offsetting that amount against the balance outstanding under AGL-Pine Hollow Note and reducing the note balance to be reasonable and appropriate. AGL's most recent position that, notwithstanding a stated December 2023 maturity date on the face of the AGL-Pine Hollow Note, no payments are due based on AGL's income further supports the offset proposed by the Receiver. (See Donell Decl. ¶¶ 8, 9 and Exhs. D and E.)

Bowles make arguments regarding prior payments by Pine Hollow to AGL and Azari's lack of accounting for Pine Hollow assets, Azari's alleged mismanagement or improper management of the entities for Azari's own benefit, and he raises questions regarding excessive payments Pine Hollow has made for management and other expenses. (Bowles Decl. ¶¶ 14-18.) Those issues and disputes are more properly addressed in the litigation of Garaventa's breach of fiduciary duty and other claims against Azari related to Pine Hollow and do not warrant the Receiver not paying the taxes due according to the lease to satisfy that obligation as part of the wind up of Pine Hollow.

With respect to the AGL-Pine Hollow Note, Bowles argues that Azari is now responsible (indirectly at least) for the entire balance due under the AGL-Pine Hollow Note because (a) AGL is the obligor under that note, and (b) Azari is now 100% owner of AGL, the obligor. (Bowles Decl. ¶ 9.) The Court may agree, but the Court does not find this relevant to whether the Pine Hollow obligation to pay property taxes under its lease should be paid by an offset against the AGL-Pine Hollow Note.

Bowles also argues that the AGL-Pine Hollow Note is really like retained earnings that Garaventa has paid taxes on as a 50% shareholder of Pine Hollow. (Bowles Decl. ¶ 10.) He then argues in effect that Garaventa would accept a payment from Azari of 50% of the AGL-Pine Hollow Note to resolve "that issue" and that otherwise, the Receiver should

collect the balance of that note from AGL. (Bowles Decl. ¶ 10.) These arguments are not evidence, and no evidence or legal authority has been offered by Garaventa to support these positions. Further, the Receiver's offset of the real property tax liability Pine Hollow owes to AGL would in effect collect at least that amount of the balance of the AGL-Pine Hollow Note immediately. The approach also seems preferable under the circumstances to the Receiver making a cash payment from the remaining cash held by Pine Hollow to satisfy the property tax liability, which is implicitly the only other alternative means of satisfying the obligation.

E. Piping Repairs and Remediation

The Receiver points to Pine Hollow's obligation to maintain the property in compliance with environmental regulations. (Donell Decl. ¶ 4 and Exh. B.) Garaventa does not contest that the lease requires that compliance, or that Pine Hollow determined as of 2019 that the property required repairs to address the piping and environmental compliance. (Garaventa Decl. ¶ 7 and Exhs. B-E.)

Garaventa raises concerns that a reserve of \$800,000 had been established on the Pine Hollow balance sheet to address the repairs, the disposition of which he contends is not known, and he contends that corporate records of Pine Hollow indicate repairs had commenced as of 2019 and were partially paid for. (Garaventa Decl. ¶ 7 and Exhs. B- E.) (*See also* Bowles Decl. ¶¶ 7, 8.) Garaventa cites an excerpt from Azari's deposition that "Phase 1" of the work had been completed. (Garaventa Decl. ¶ 7 and Exh. F.) He also argues the violations for the cite from the State California Environmental Reporting System ("CERS") website provided to the Receiver by Azari is not dated. (Donell Decl. ¶¶ 10, 11.)

The Receiver estimates based on information from Azari and an estimate from December 2020 for the cost of the work that the remediation and piping repair could cost over \$450,000 and take 4 to 5 weeks to complete. (Donell Decl. ¶¶ 10-12 and Exh. F.) The Receiver recommends that the repair work be performed, because the lease obligates Pine Hollow as tenant to make the repairs. (Donell Decl. ¶¶ 4, 10-12.) The Receiver though acknowledges (a) Pine Hollow does not have the funds to make the repairs; (b) one of the essential parts is on backorder and may not be available for 30 days; and (c) the repairs may take 4-5 weeks to complete. (Donell Decl. ¶ 10.) The Receiver's reply again recommends that the Receiver complete the pipeline remediation "subject to the Receiver obtaining adequate funding to perform the repair work." (Reply p. 1, ll. 25-26.)

Garaventa's position is that the repairs will only benefit AGL as the property owner, that if Azari wishes to "recapture" the benefit of the repairs to the property for AGL, the repairs should only be made after AGL pays the balance owed on the AGL-Pine Hollow Note, and that rather than making these repairs, Garaventa's counsel argues Pine Hollow's business "should be shut down immediately." (Bowles Decl. ¶ 20.)

The Court has some concerns about the issue of the piping repairs and remediation in light of the time and expense to complete the repairs and lack of current funding. Nevertheless, the Court agrees with the Receiver that the evidence before the Court shows Pine Hollow is obligated under the lease to remediate the piping issues. An obvious source of funding for the repairs would be AGL's immediate repayment of its outstanding debt to Pine Hollow under the AGL-Pine Hollow Note, which would provide more than sufficient funds to complete the repairs. Azari has already apparently

offered to pay half the note debt of \$500,000, which exceeds the estimate for the repairs. Given the disputes between the shareholders and the contentious history of the operations and management of Pine Hollow and AGL, it would appear to be in the best interests of Pine Hollow that the Receiver, as a neutral fiduciary control and supervise the remediation, subject to the Receiver obtaining the funding necessary.

The Court assumes that the Receiver could not immediately cease Pine Hollow's operations, as Garaventa argues, without creating additional liability to Pine Hollow's vendors and potentially to AGL to the detriment of Pine Hollow and ultimately its shareholders. Nevertheless, the Receiver should address this assumption at the hearing as well as the following additional issues before the Court finally grants the Receiver's requested instructions and approves the proposed repair/remediation of the piping issues at the property:

- a. The Receiver's independent investigation, apart from the representations of and documents provided by Azari, as to the existence, nature and scope of any outstanding/unresolved environmental violations, the nature and scope of repairs needed to remedy the violations, the cost of the repairs, and CRGS Compliance Services, if that is the company the Receiver expects to engage to perform the repairs; and
- b. The status of the notices to the fuel product supplier and convenience store franchisor, when the Receiver anticipates Pine Hollow will cease business operations, and, assuming a funding source is available for the remediation, the timing of the commencement of repairs in relation to the cessation of the ongoing operations of Pine Hollow.

Conclusion and Ruling

The Court will **grant** the Receiver's motion regarding the CMA invoice and the real property taxes being paid by an offset against the balance due under the AGL-Pine Hollow Note. The Court is **inclined to also grant** the Receiver's motion with respect to the request for authorization for the Receiver to perform the remediation, subject to the Court considering the additional information requested above regarding the proposed piping repairs.

17. 9:00 AM CASE NUMBER: MSC19-02043
CASE NAME: GARAVENTA VS AZARI
***HEARING ON MOTION IN RE: DISMISS SECOND, THIRD AND FOURTH CAUSES OF ACTION**
FILED BY: AZARI, MEHRZAD
TENTATIVE RULING:

See Line 15.

18. 9:00 AM CASE NUMBER: MSC22-00088
CASE NAME: KALAMAS VS. JOHN MUIR HEALTH
***HEARING ON MOTION IN RE: ATTORNEY FEES**
FILED BY: JOHN MUIR MEDICAL GROUP
TENTATIVE RULING:

Defendant John Muir Health prevailed in this case in a matter heard before a Judicial Referee. Prior to trial, defendant made an offer under Code of Civil Procedure section 998 of \$1 million plus